

CUSTOMER BEHAVIOR ANALYSIS

Overview of Consumer Behavior in Marketing

Business Problem

How can a retail company understand customer purchasing behavior to increase revenue, improve customer retention, and optimize marketing strategies?

KEY CHALLENGES & OBJECTIVES

Low Customer Retention: Strategies to maintain long-term relationships.

Product Demand Understanding: Identifying consumer needs and trends.

Customer Segmentation: Effective grouping for targeted marketing.

Seasonal Demand Variation: Managing fluctuations across different times of the year.

Payment Behavior Insights: Analyzing transaction methods and patterns.

Business Questions for Analysis

1. Which category generates the highest revenue?

2. Are discounts actually increasing purchase value?

3. What is the total revenue generated by male and female customers?

4. Which customer used a discount but still spent more than the average purchase amount?

5. Which are the top/bottom 5 products with the highest average review rating?

6. Average purchase comparison: Standard vs. Express shipping.

7. Do subscribed customers spend more? Compare average spend and total revenue between subscribers and non-subscribers.

8. Top 5 products with highest discount usage %?

9. Segment customers into new, returning, and loyal based on their total number of previous purchases, and show the count of each segment.

10. Are customers who are repeat buyers (more than 5 previous purchases) also likely to subscribe?

11. What are the top 3 most purchased products within each category?

12. What is the revenue contribution of each age group?